

FEDERAL MARITIME COMMISSION

PETITION OF ORIENT OVERSEAS
CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED FOR AN EXEMPTION
FROM 46 U.S.C. § 40703

Petition No. P2-18

Served: October 30, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE, *Commissioner*.

ORDER GRANTING PETITION

On August 29, 2018, Orient Overseas Container Line Limited (OOCL) and OOCL (Europe) Limited (OOCL (Europe)), both controlled carriers,¹ submitted a petition to the Federal

¹ 46 U.S.C. § 40102(8) defines a controlled carrier as:

an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by a government, with ownership or control by a government being deemed to exist for a carrier if— (A) a majority of the interest in the carrier is owned or controlled in any manner by that government, an agency of that government, or a public or private person controlled by that government; or (B) that government has the right to appoint or disapprove the appointment of a majority of

Maritime Commission (FMC or Commission), pursuant to 46 U.S.C. § 40103 (section 16 of the Shipping Act of 1984) and 46 C.F.R. § 502.94, for an exemption from 46 U.S.C. § 40703. The Notice of Filing and Request for Comments was served on August 30, 2018, and published in the Federal Register on September 6, 2018. 83 Fed. Reg. 45238. Comments were due by September 18, 2018, and the Commission received four comments in support of the petition.²

Because the requested exemption will not result in substantial reduction in competition or be detrimental to commerce, the Commission has determined to grant the petition.

I. BACKGROUND

OOCL is a Hong Kong corporation with its head office located in Hong Kong and OOCL (Europe) is an England and Wales corporation with its head office located in England. Pet. at 1. Both OOCL and OOCL (Europe) are wholly owned subsidiaries of Orient Overseas (International) Limited (OOIL), which is ultimately controlled by COSCO SHIPPING Holdings Co., Ltd. (CS Holdings).³ Cosco Shipping Lines Co. (COSCO), the wholly owned subsidiary of CS Holdings, is a controlled carrier and has been designated as such since 1981. See Controlled Carriers Under the Shipping Act, 46 Fed. Reg. 35355 (July 8, 1981). The Commission's

the directors, the chief operating officer, or the chief executive officer of the carrier.

² The Commission received comments in support of granting the petition from the following parties: Agriculture Transportation Coalition, Sept. 11, 2018; Rohlig Logistics GmbH & Co. KG, Sept. 5, 2018; BSH Hausgerate GmbH, Sept. 4, 2018; and BLG International Forwarding GmbH & Co. KG, Sept. 3, 2018.

³ CS Holdings is the majority owner of OOIL. More information on this transaction can be found in Petition of Cosco Shipping Lines Co., Ltd. (COSCO), Orient Overseas Container Line Limited (OOCL), and OOCL (Europe) Limited for an Exemption from Agreement Filing, Pet. No. P2-17 (Nov. 8, 2017).

General Counsel determined under delegated authority that, following the consummation of the merger, the OOCL entities are now also controlled carriers. See 46 C.F.R. §§ 501.23; 565.3. On August 16, 2018, the Office of the General Counsel (OGC) notified the OOCL entities that they met the criteria for classification as controlled carriers and were subject to the requirements of 46 U.S.C. §§ 40701–40706.

OOCL and OOCL (Europe) have petitioned the Commission for an exemption from 46 U.S.C. § 40703, which states that “a rate, charge, classification, rule, or regulation of a controlled carrier may not become effective, without special permission of the [Commission], until the 30th day after publication.” Such an exemption would allow the parties to reduce their tariff rates effective upon publication. The parties argue that this exemption is justified as it would neither reduce competition nor be detrimental to commerce. Pet. at 1.

II. DISCUSSION

The Commission has the authority under 46 U.S.C. § 40103 to grant exemptions for agreements or activities if the exemption will not result in a substantial reduction in competition or be detrimental to commerce. The Commission has previously granted exemptions from § 40703. See *Petition of American President Lines, Ltd. and APL Co. PTE. Ltd. for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as amended*, 30 S.R.R. 517 (FMC 2004); *Petition of China Shipping Container Lines (Hong Kong) Co., Ltd., for an Exemption from the First Sentence of Section 9(c) of the Shipping Act*, 30 S.R.R. 645 (FMC 2004); *Petition of Hainan P.O. Shipping Co., Ltd. for an Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as amended*, 31 S.R.R. 1659 (FMC 2010); *Petition of United Arab Shipping Company (S.A.G.) for an Exemption from 46 U.S.C. § 40703*, Pet. No. P1-14, slip op. (FMC July 17, 2015); and *Petition of COSCO Container Lines Europe GmbH for an Exemption from 46 U.S.C. § 40703*, Pet. No. P3-15, slip op. (FMC Nov. 9, 2015).

The parties argue that granting the requested exemption would be procompetitive and beneficial to commerce. They argue that requiring the OOCL entities to wait 30 days for agreed rates to become effective would effectively prevent them from competing for a measurable portion of trade. Pet. at 2. They state that, while most OOCL entities' cargo moves under service contract, some still moves under tariffs. Additionally, surcharges, extra charges, and rules tend to be published in governing tariffs. Being allowed to reduce tariff rates and charges and amend rules on immediate notice would allow the OOCL entities to compete more effectively in those areas. Pet. at 2. The parties also argue that "[a]llowing an additional carrier to compete effectively in the market would give customers more choices among carrier options and would thus promote the flow of commerce." Pet. at 2.

Section 40103 provides that if the Commission finds that an exemption will not result in a substantial reduction in competition or be detrimental to commerce, the relief may be granted. By allowing the OOCL entities to reduce tariff rates effective on publication rather than requiring a 30-day waiting period, the carriers will be able to react to market conditions more quickly and remain at a level competitive with other carriers not subject to the statutory strictures imposed by the Shipping Act on controlled carriers. The increased flexibility may also allow importers and exporters to avail themselves of rate reductions sooner. Consequently, the exemption likely would be procompetitive and beneficial to commerce.

Based on the foregoing, granting the petition would be unlikely to cause a reduction in competition or be detrimental to commerce.

III. CONCLUSION

The Commission finds that OOCL and OOCL (Europe)'s petition for exemption from the requirements in 46 U.S.C. § 40703

will not result in substantial reduction in competition or be detrimental to commerce, and the petition is therefore granted. OOCL and OOCL (Europe) will remain subject to all other applicable provisions of the Shipping Act and the Commission's regulations, and the Commission retains full authority to revoke the instant exemption.

THEREFORE, IT IS ORDERED, that Orient Overseas Container Line Limited and OOCL (Europe) Limited are granted an exemption from the requirement of 46 U.S.C. § 40703 that tariff rates of a controlled carrier may not become effective until the 30th day after publication; and

IT IS FURTHER ORDERED, that this proceeding is discontinued.

By the Commission.

Rachel E. Dickon
Secretary